

USA: Warsh Says Inflation Risks Have Come Down

BOTTOM LINE: In a panel discussion at the ECB Forum, Chairman Kevin Warsh said that “inflation expectations have come down, and inflation risks have come down,” and that if AI causes the supply side to expand, “that has huge implications for monetary policy.” Warsh also suggested that large changes could potentially come out of the task forces that he announced at the June FOMC meeting. He said that he hoped the Fed would be able to make greater use of real-time data over the next 9–12 months and hinted that the dots could be phased out, saying “there will still be dots for a short time, at the very least, but we have a task force for that, and we’ll revisit it.” Separately, a Bloomberg article this morning reported that former Bank of England governor Mervyn King will co-chair the Fed’s task force on communications. We continue to expect that the FOMC will leave the funds rate unchanged for the rest of 2026.

MAIN POINTS:

1. Fed Chairman Kevin Warsh participated in a panel discussion at the ECB Forum on Central Banking in Sintra, Portugal alongside Bank of England Governor Andrew Bailey, European Central Bank President Christine Lagarde, and Bank of Canada Governor Tiff Macklem.
2. Warsh was reluctant to say much about his own views on appropriate monetary policy or the economic situation, as he was during his press conference after the June FOMC meeting. But he made two dovish comments. First, he said that “expectations of inflation over the ... first four weeks of this period [since the June FOMC meeting] have come down, inflation risks have come down.” Second, in response to a question about near-term inflationary pressure from AI, Warsh pivoted to instead highlight the potentially disinflationary medium-run consequences, noting that “if the supply side expands, that has huge implications for monetary policy.”
3. Warsh also suggested that large changes could potentially come out of the task forces that he announced at the June FOMC meeting. He said that he hoped the Fed would be able to use new technologies to make greater use of real-time data over the next 9–12 months so that it would “no longer have to rely solely on data that we get from government agencies with mismeasurement problems, that have surveys that are no longer relevant.” He also hinted that the dots could be phased out, saying “there will still be dots for a short time, at the very least, but we have a task force for that, and we’ll revisit it.”
4. Separately, a Bloomberg article this morning reported that former Bank of England governor Mervyn King will co-chair the Fed’s task force on communications.

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